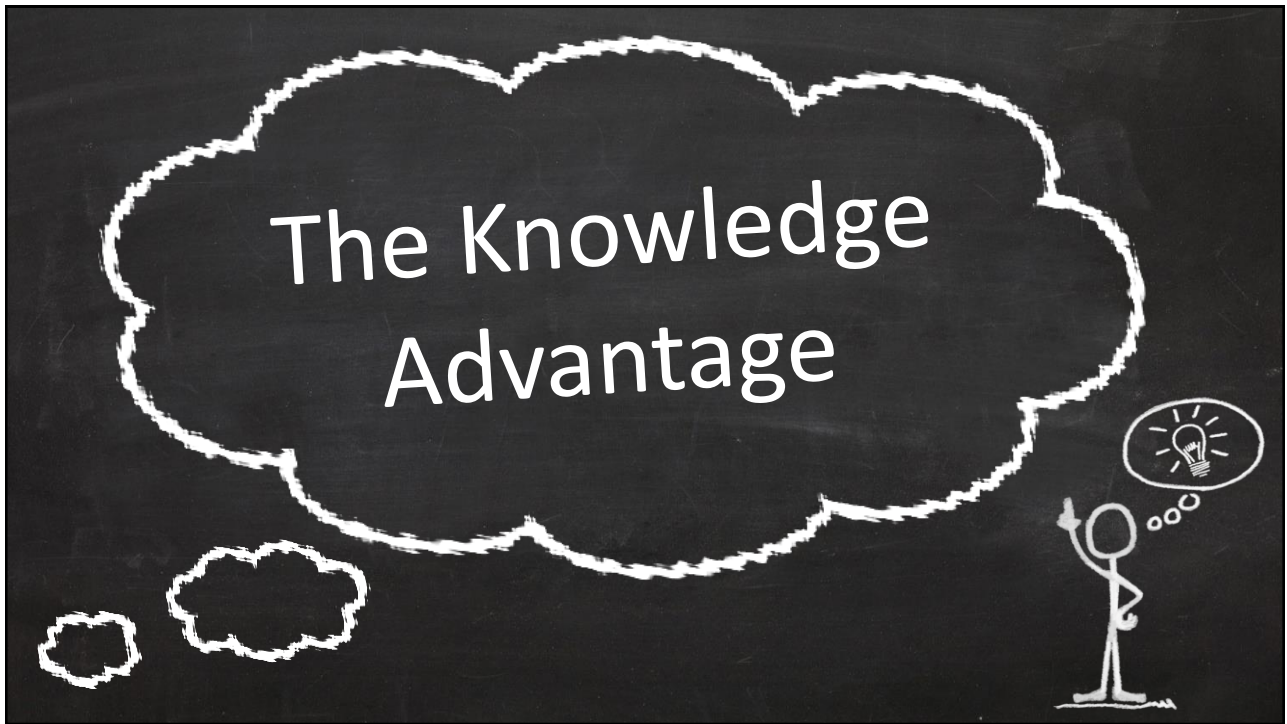




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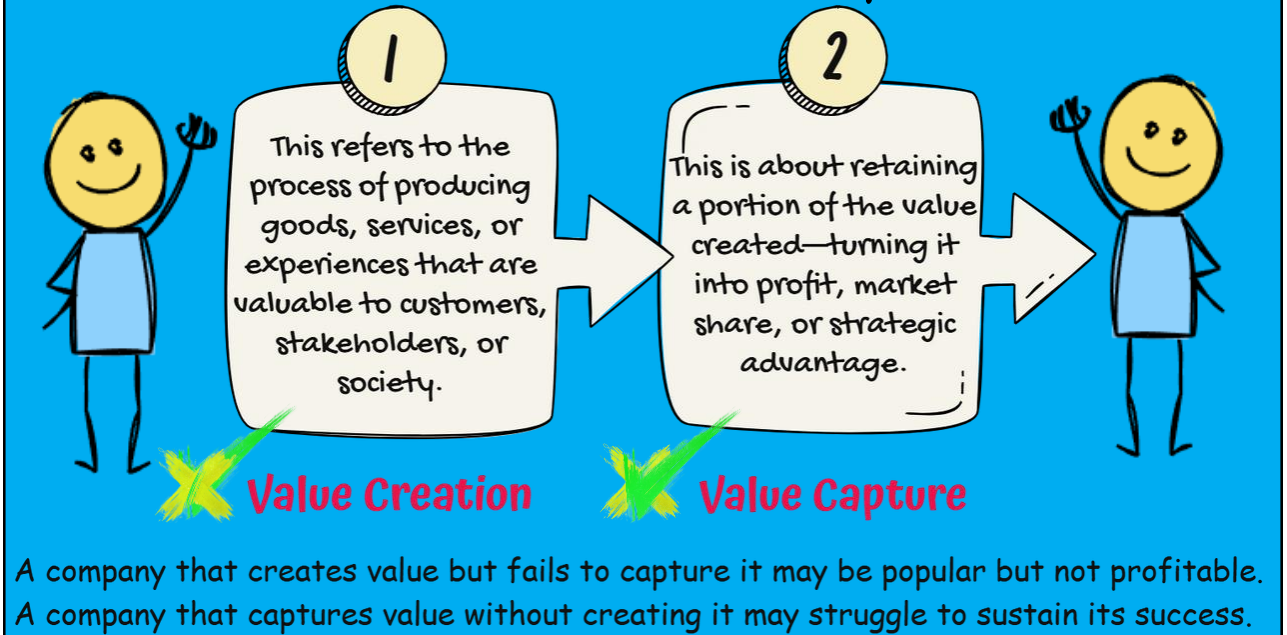
Definitions of Value Creation

Value creation refers to processes through which organizations enhance their existing offerings and/or develop new offerings to provide more benefits, superior experience for its customers/partners as well as increase its own profitability.

Accountants (IFAC), <https://integratedreporting.ifrs.org/wp-content/uploads/2020/06/Understanding-Value->

23

Value Creation & Value Capture

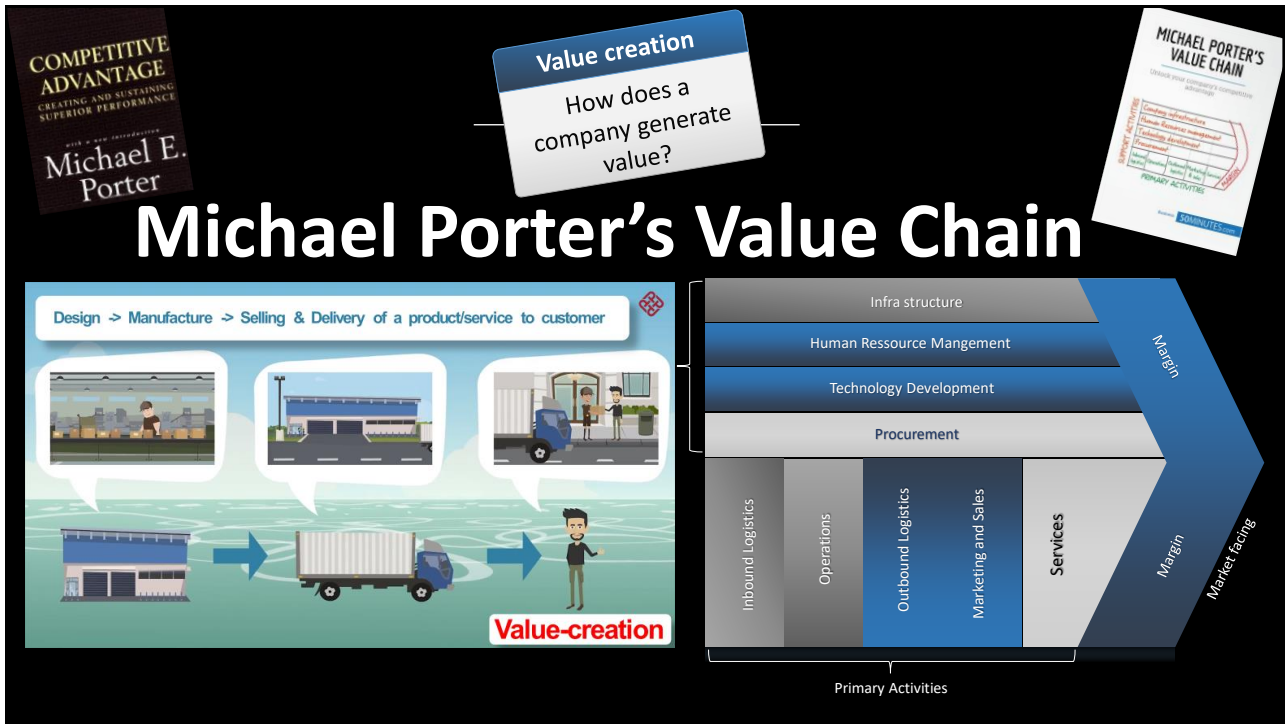


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How does an organisation generate value?



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Top U.S. Retailers in 1970 and in 2020



	1970	TODAY
1	Sears	Walmart
2	JCPenney	Amazon
3	Kmart	Kroger
4	Woolworth	Costco
5	McCrory	Walgreens
6	Grant	Home Depot
7	Genesco	CVS
8	Allied	Target
9	May	Lowe's
10	Dayton Hudson	Albertsons



Source: C. A. Oreilly and M. Tushman (2021), Lead and Disrupt, Stanford Business Books, Stanford University Press, 2021

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U.S. Airlines, 1982–2015



	AIRLINE	STATUS
1	United	Bankruptcy
2	Pan Am	Gone
3	American	Bankruptcy
4	Delta	Bankruptcy
5	Eastern	Gone
6	TWA	Gone
7	Northwest	Gone
8	Republic	Gone
9	Continental	Gone
10	Western	Gone
11	US Air	Gone
12	Piedmont	Gone
13	Southwest	Profitable
14	Braniff	Gone
15	Texas International	Gone



Source: C. A. Oreilly and M. Tushman (2021), Lead and Disrupt, Stanford Business Books, Stanford University Press, 2021

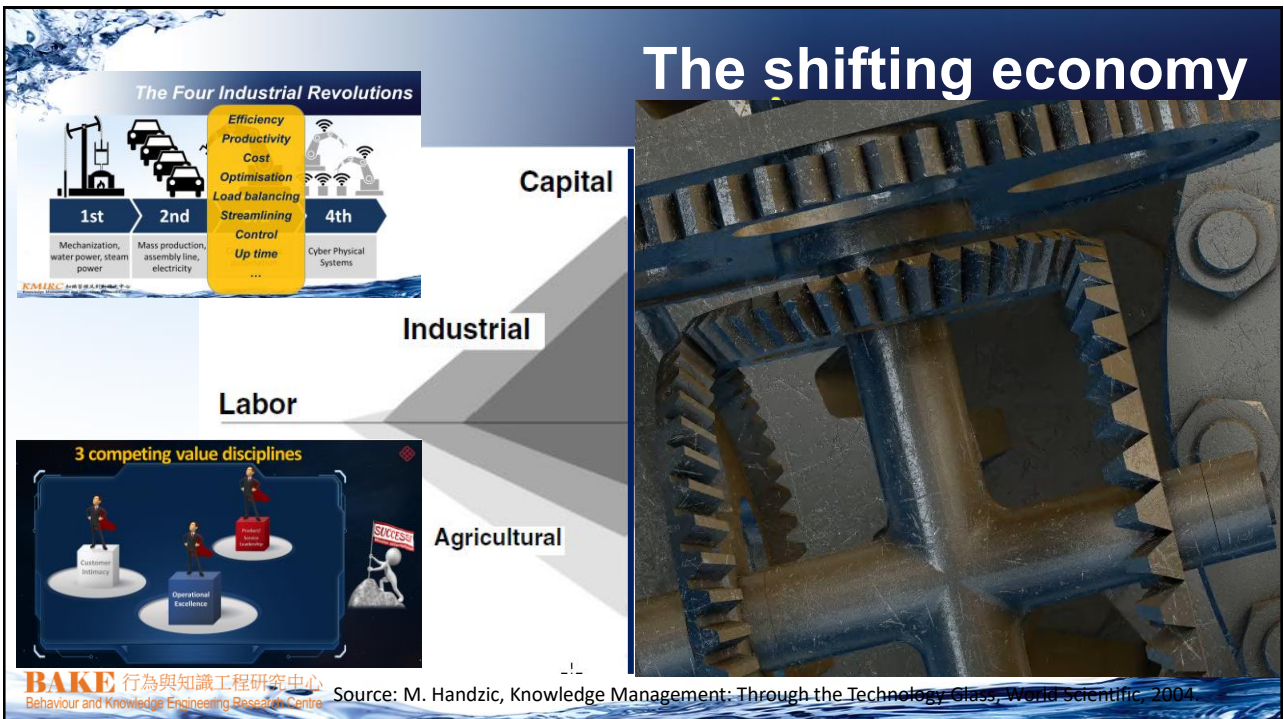
39

3 competing value disciplines in the old economy



40

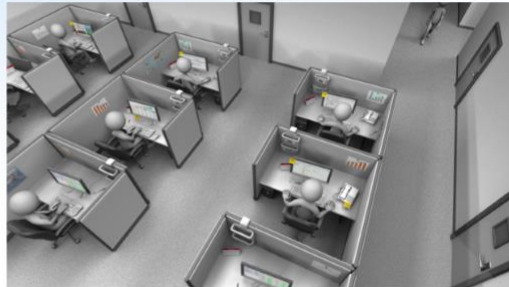
The shifting economy



41

Major strategic management principles

- The Theory of the Firm
- The Production Model
- Resource-based view
- Knowledge-based view



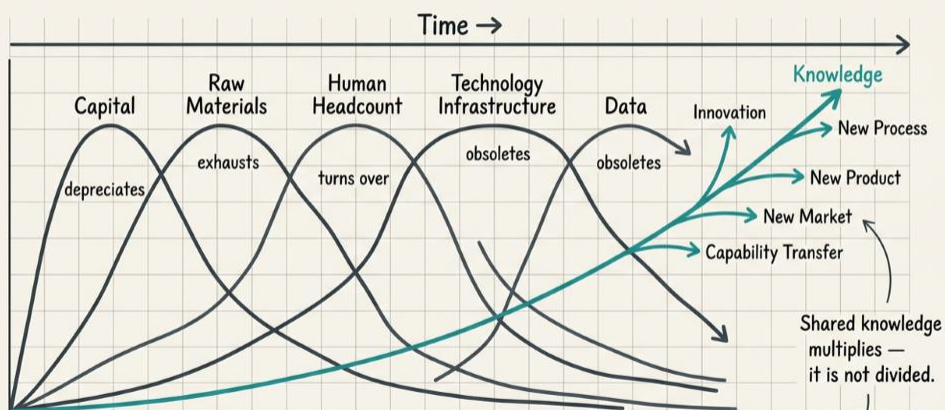
Theory of the firm – A firm is a collection of processes

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Knowledge is the only infinitely renewable resource to an organisation

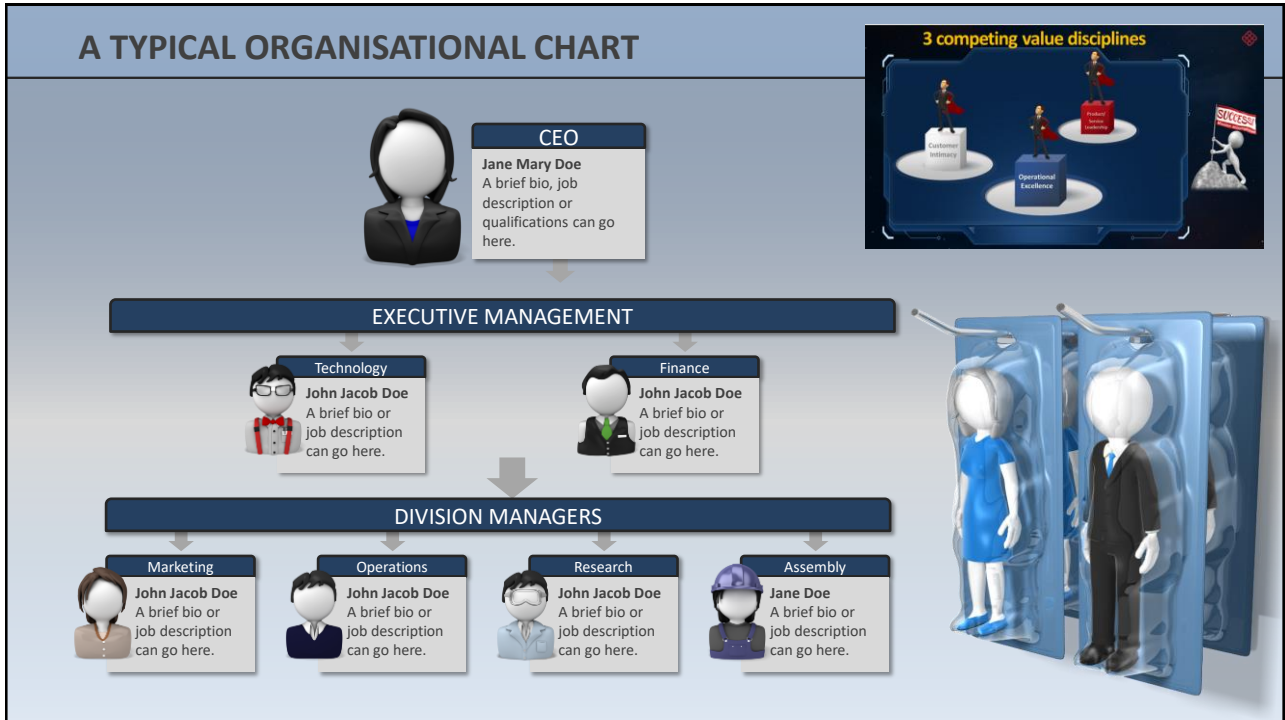


"Knowledge is the only source of sustainable competitive advantage."

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A TYPICAL ORGANISATIONAL CHART



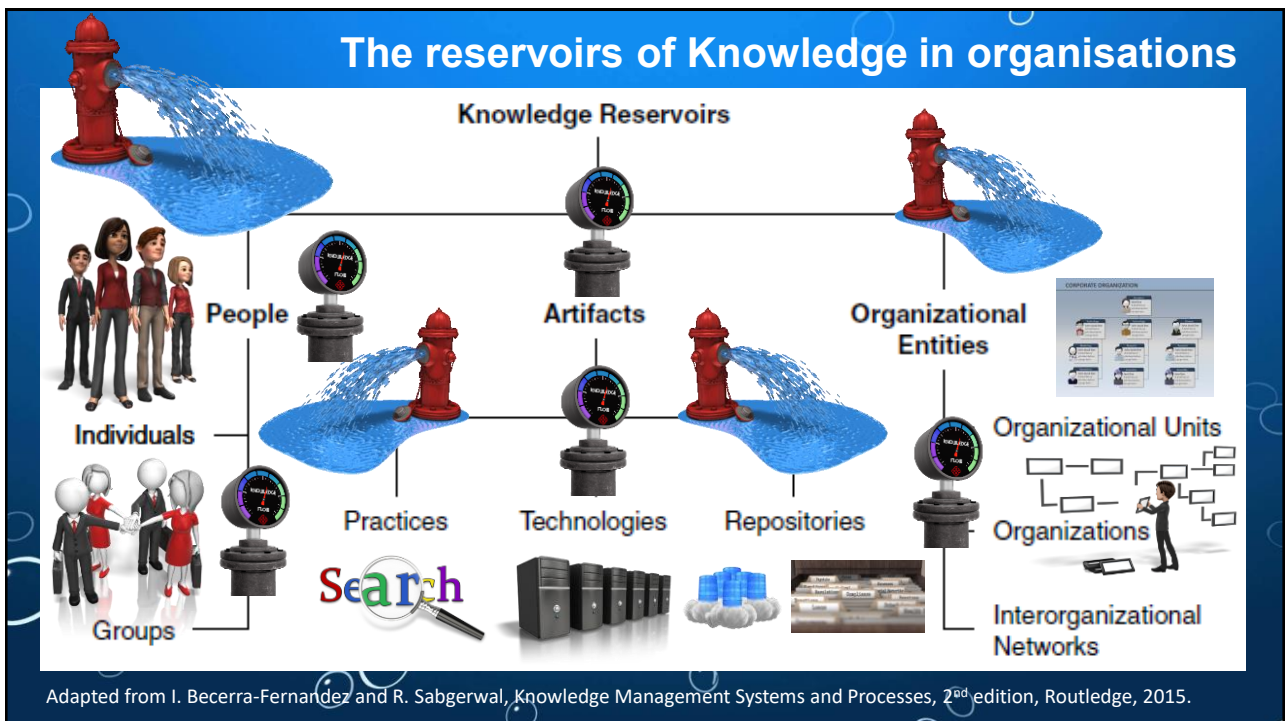
50

This type of organizational design favours task specialization, control and efficiency but inhibits cross flow of knowledge between units/divisions and innovation

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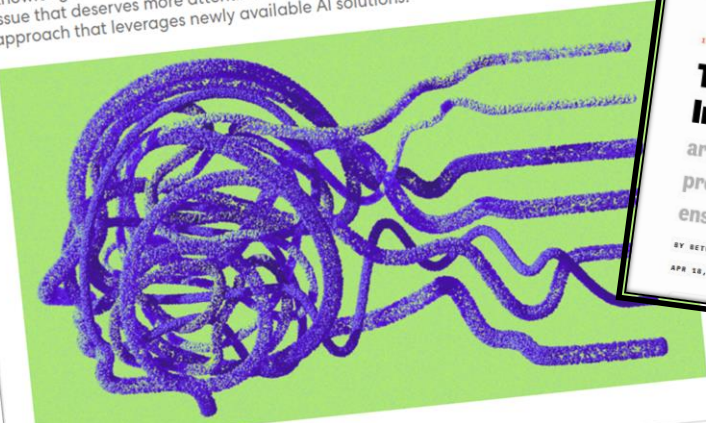


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06-18-2024 | LEADERSHIP NOW

Leaders are forgetting about this \$50 billion problem

Knowledge loss, long relegated to HR and people teams, is a sweeping leadership issue that deserves more attention from a company's top executives and an upgraded approach that leverages newly available AI solutions.



[Source Illustration: DeepMind/Unsplash]

3 MINUTE READ

Inc.

THE COST AND CONSEQUENCE OF INSTITUTIONAL MEMORY DRAIN

The role archives, oral histories, and simple documentation can preserve your organization's institutional memory and ensure business continuity.

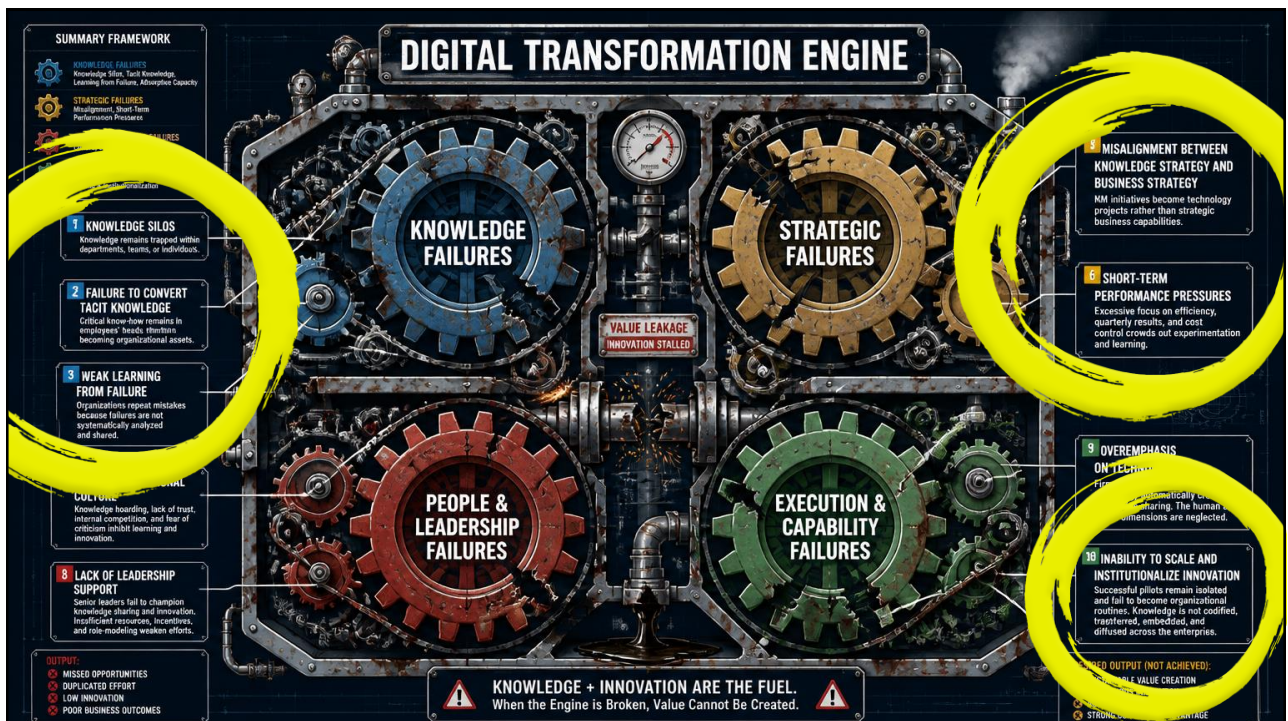
BY SCOTT MASER, CEO OF HISTORY ASSOCIATES INCORPORATED

APR 18, 2025

Interorganizational Networks

and Processes, 2nd edition, Routledge, 2015.

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野中郁次郎 (IKM2023)
Innovation and Knowledge Management (IKM2023)

野中郁次郎
Ikujiro NONAKA
Professor Emeritus at the Graduate School of International Corporate Strategy of the Hitotsubashi University, Japan

Tacit knowledge	Explicit Knowledge
• Knowledge and know-how	• Objective, social, organizational
• Physical, technical	• Rational, logical, scientific
• Skill and technique	• Digital
• Subjective, personal, human	
• Feeling, sentiment, art	
• Analog	

Tacit knowledge and explicit knowledge does not exist independently: **they exist as a continuum**. Explicit knowledge cannot exist without tacit knowledge, just like the tip of the iceberg cannot exist without the massive iceberg underwater.

野中郁次郎

Tacit knowledge is a source of innovation & competitive advantage. Explicit knowledge cannot generate new knowledge but tacit can. Without tacit knowledge, there is no explicit knowledge

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Common Knowledge problems in organisations

- Employees do not know the existence and/or where to locate existing/possessed knowledge
- Very few employees have comprehensive knowledge of inter-departmental processes
- Not knowing what the organisation already known
- Lessons learnt are often not shared
- Organisations are unaware of the critical knowledge, how it is created, the flow, who needs/actions on it, storage etc.



Adapted from: K. North and G. Kumta, Knowledge Management: Value Creation through Organizational Learning, 2nd edition, Springer, 2018.

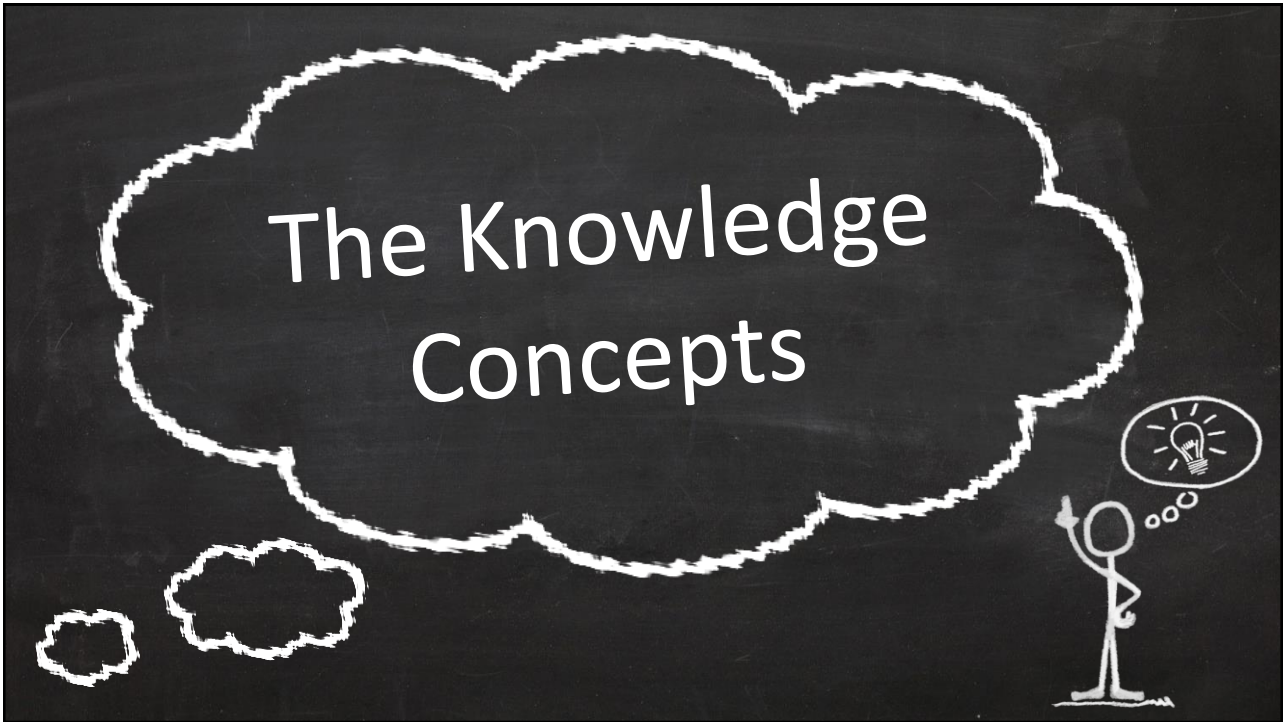
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How Knowledge Management Supports Innovation?

1. Facilitating Knowledge Sharing
2. Retention of expertise
3. Enhancing Decision-Making
4. Encouraging a Learning Culture
5. Building trust
6. Supporting Research & Development
7. Improving Efficiency & Reducing Redundancy
8. Leveraging Technology for automation, smartness, personalization, ...
9. Fostering a Collaborative culture
10. Gathering customer insights



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FOUNDATIONS

Defining the Know

"Increasingly, the true investment in the knowledge society is not in machines & tools. It is in the knowledge of the workers."

Drucker's Insight (1959)

Peter Drucker (1909-2005) first articulated the shift from physical to **cognitive capital** – a revolution in how organisations create and capture value.

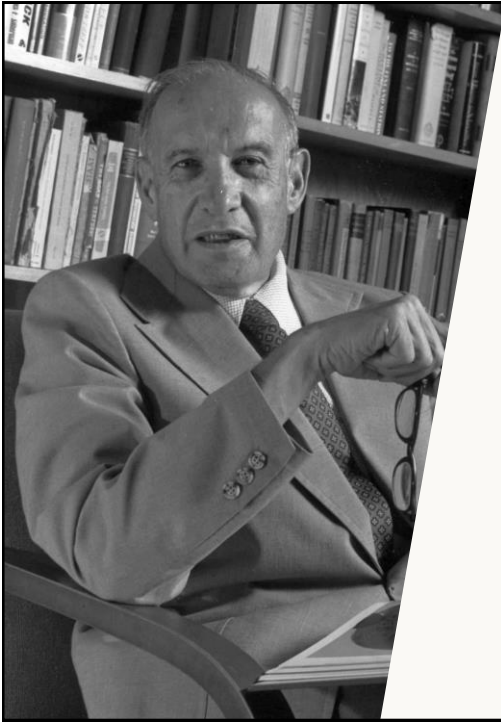
Core Definition

Professionals who generate value through **expertise, critical thinking, and interpersonal skills** – not through physical output.

Creator vs. Executor

Knowledge workers **synthesise and originate**; information workers execute routine tasks. The distinction is increasingly vital in the AI era.

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WHAT SETS IT APART

Characteristics of Knowledge-Intensive Work

Complex Problem-Solving

Tackling ambiguous challenges that require judgement, creativity, and deep domain expertise — not scripted responses.

Non-Routine Cognitive

Value emerges from synthesis, interpretation, and strategic decision-making rather than standardised, repeatable processes.

Social Intelligence

Empathy, trust-building, and collaborative expertise are the differentiators that elevate knowledge work beyond automation's reach.

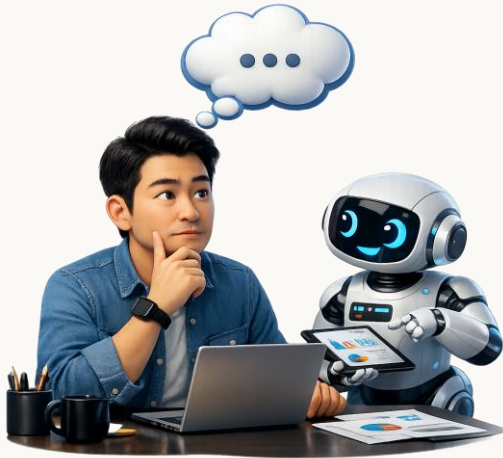
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THE PATH FORWARD

The Human-Led Future



The Irreplaceable Edge

Accountability, trust, and **human-led purpose** remain beyond the reach of any algorithm. These are the pillars of enduring organisational value.



Survival of the Agile

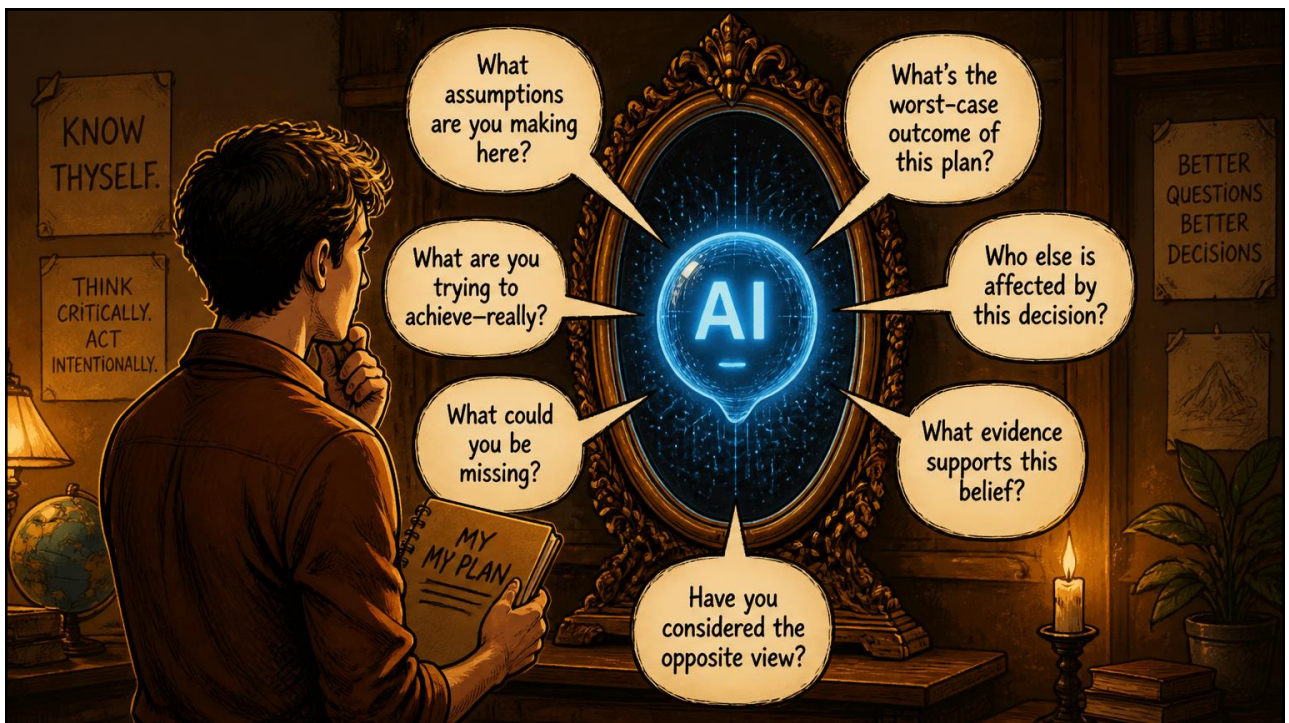
Organisations that **invest in people alongside technology** – building adaptability, not just efficiency – will define the next era of work.



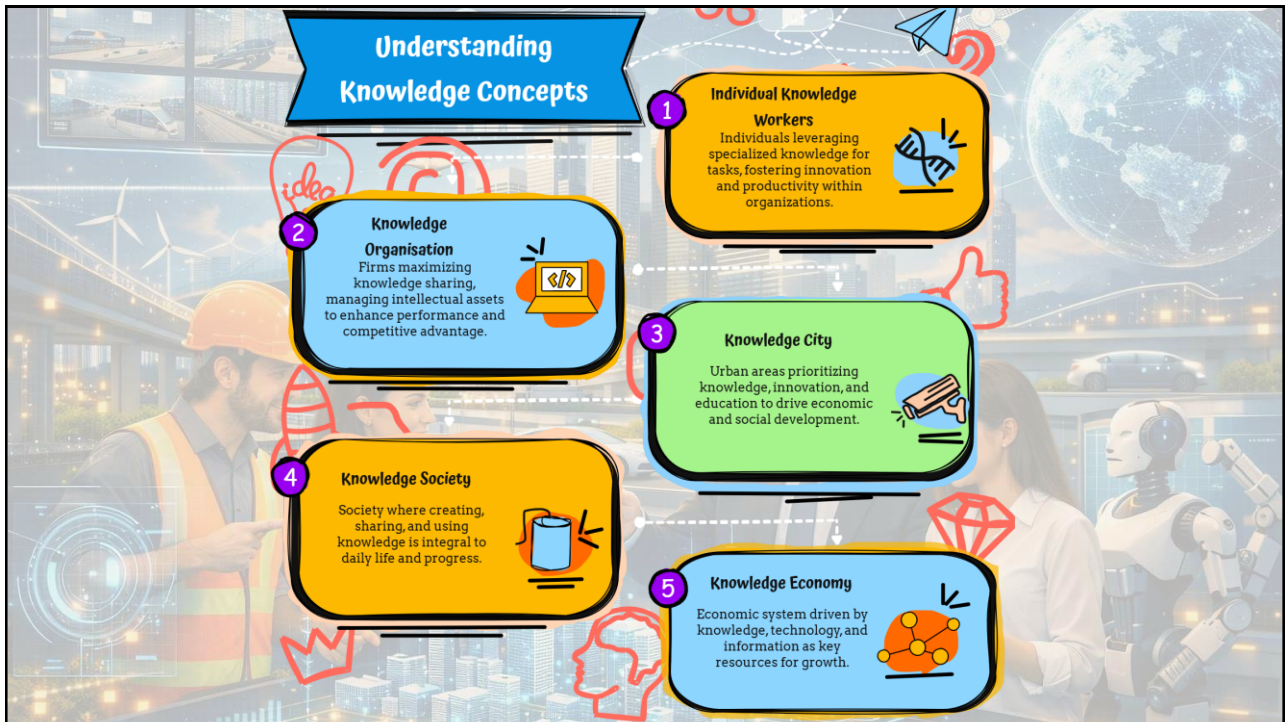
Augment, Don't Replace

The mandate is clear: **amplify human expertise** with AI, rather than substituting the judgement, empathy, and creativity that machines cannot replicate.

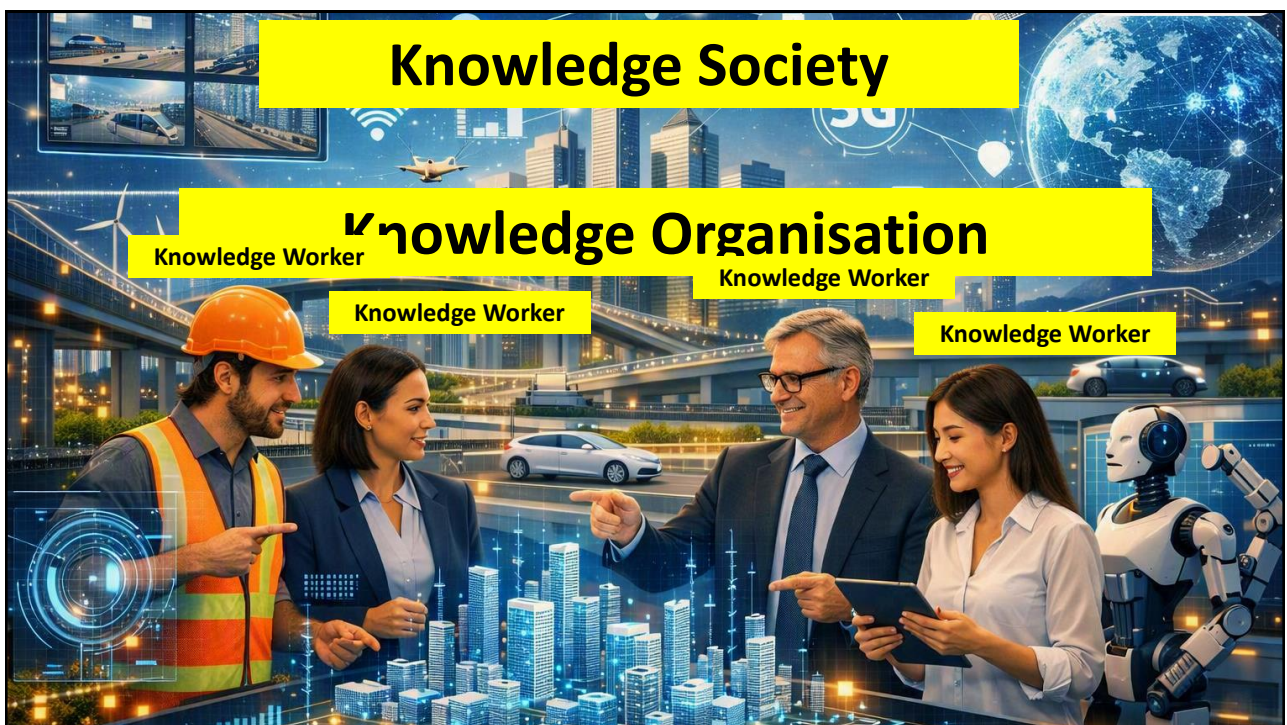
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Trade with Greek colonies brought philosophy, art, and science to this ancient hill town.



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The characteristics of knowledge

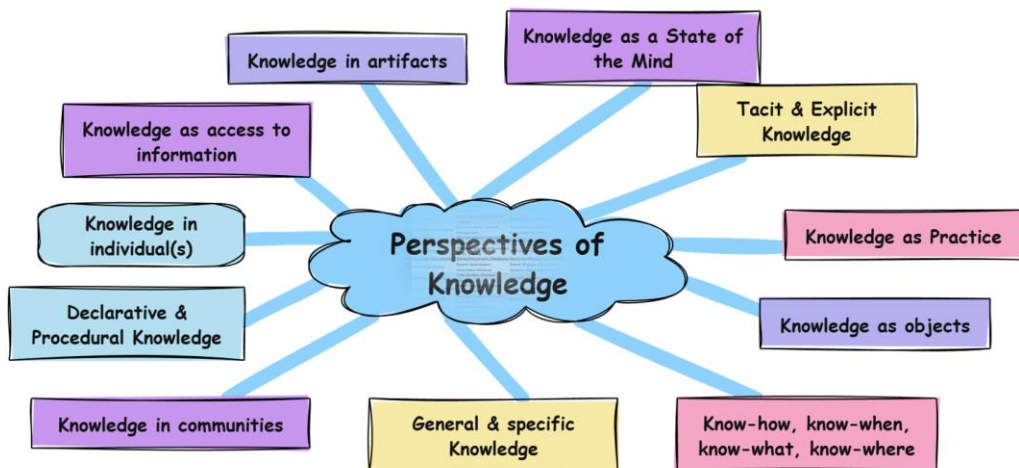
“We know a lot more than what we can say; we can say a lot more than what we can write.”



“Knowledge is socially constructed.”

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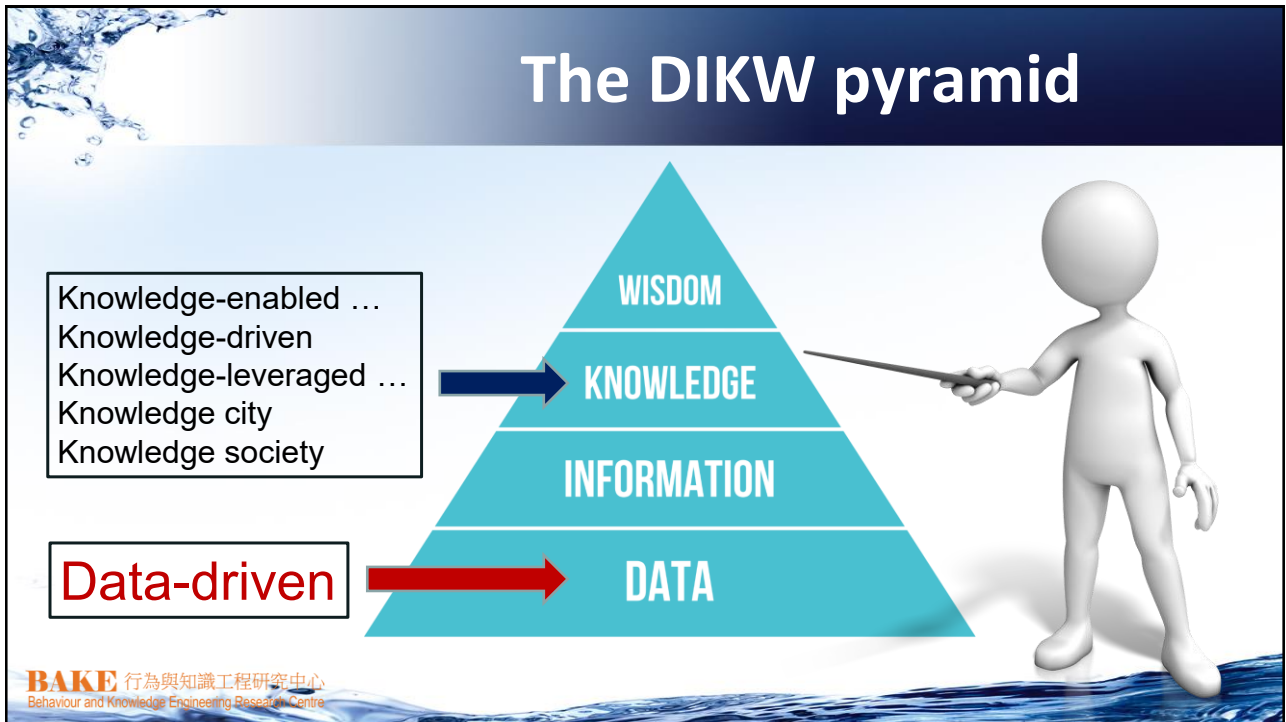
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Perspective of Knowledge	Strategy	Processes	Tools & Systems	Commercial software
Knowledge as a State of the Mind	Cognitive Development	Mind Mapping, Personal Learning Plans	Learning Management Systems, Personal Learning Systems	MindMeister, Learning Management Systems (LMS)
Knowledge as Practice	Practice-based Learning	Action Learning, Hands-on Activities	Practice Management Platforms	Monday.com, BambooHR
Tacit Knowledge	Socialization	Mentoring, Communities of Practice	Collaboration Platforms, K-cafes	Teams, Slack, ZOOM
Explicit Knowledge	Codification and Storage	Documentation, Content Management	Content Management Systems, Knowledge Repositories	Confluence, GitHub
Declarative Knowledge	Knowledge Documentation	Recording Facts, Conceptual Diagrams	Knowledge Management Systems	SharePoint, Obsidian
Procedural Knowledge	Process Adherence	Standard Operating Procedures (SOP), Training	BPM Systems, Process Library	Lucidchart, Signavio
Knowledge as Objects	Knowledge Repositories	Storing Documents, Databases	Document Management Systems	Google Drive, OneDrive
Knowledge as Access to Information	Information Access	Search Optimization, Information Retrieval	Search Engines, Information Systems, Datamining Systems	Google Search, Intranet Systems
Know-how, Know-when, Know-what, Know-where	Contextual Learning	Case Studies, Scenario Planning	Contextual Learning Systems	Scenario Planning Tools, Knowledge Maps
General Knowledge	Comprehensive Learning	Broad Curriculum, Diverse Learning Paths	Educational Platforms	Coursera, Khan Academy
Specific Knowledge	Specialized Learning	Focused Curriculum, Expert Contributions	Specialty Learning Systems	LinkedIn Learning, Udemy
Knowledge in Individual(s)	Personal Knowledge Management	Self-Reflection, Personal Documentation	Personal Knowledge Systems	Evernote, OneNote
Knowledge in Artifacts	Artifact Management	Documenting Artifacts, Storing Examples	Artifact Repositories	Mendeley, Scribd
Knowledge in Communities	Community development & sustainment	Group Discussions, Collective Documentation	Community Platforms, Networking Software	Meetup, Reddit

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“ Knowledge Management” is the new *discipline* of enabling individuals, teams and entire organisations to *collectively, systematically* and *continuously share, create and apply* knowledge to better achieve the business objectives”

Knowledge Associates

At the bottom left, the logo for **BAKE** (Behaviour and Knowledge Engineering Research Centre) is displayed.

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More examples of definitions of KM

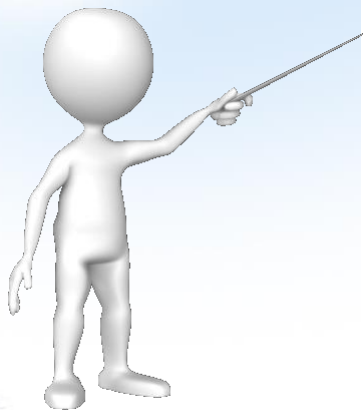
“Knowledge management is a formal, structured initiative to improve the *creation, distribution, or use of knowledge* in an organization. It is a formal process of turning corporate knowledge into corporate value.” – Thomas Davenport

“Knowledge Management is a new discipline of enabling individuals, teams and entire organizations to collectively and systemically *create, share and apply knowledge*, to better achieve the business objectives.” – Knowledge Associate

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Approaches to define Knowledge Management



Author/s	Definition	Perspective
Davenport and Prusak (1998)	'Knowledge management draws from existing resources that your organisation may already have in place – good information systems management, organisational change management, and human resources management practices.'	Integration (information systems and human resources)
Swan et al. (1999b)	'... any process or practice of creating, acquiring, capturing, sharing and using knowledge, wherever it resides, to enhance learning and performance in organisations.'	Human resource process
Skyrme (1999)	'The <i>explicit</i> and <i>systematic</i> management of <i>vital</i> knowledge and its associated <i>processes</i> of creating, gathering, organising, diffusion, use and exploitation, in pursuit of organisational objectives.'	Human resource process
Mertins et al. (2000)	'... all methods, instruments and tools that in a holistic approach contribute to the promotion of core knowledge processes.'	Information systems
uit Beijerse (2000)	'The achievement of the organisation's goals by making the factor knowledge productive.'	Strategy
Newell et al. (2009)	'... improving the ways in which firms facing highly turbulent environments can mobilise their knowledge base (or leverage their knowledge 'assets') in order to ensure continuous innovation.'	Strategy

Source: A. Jashapara, Knowledge Management: An Integrated Approach, Prentice Hall, 2011.

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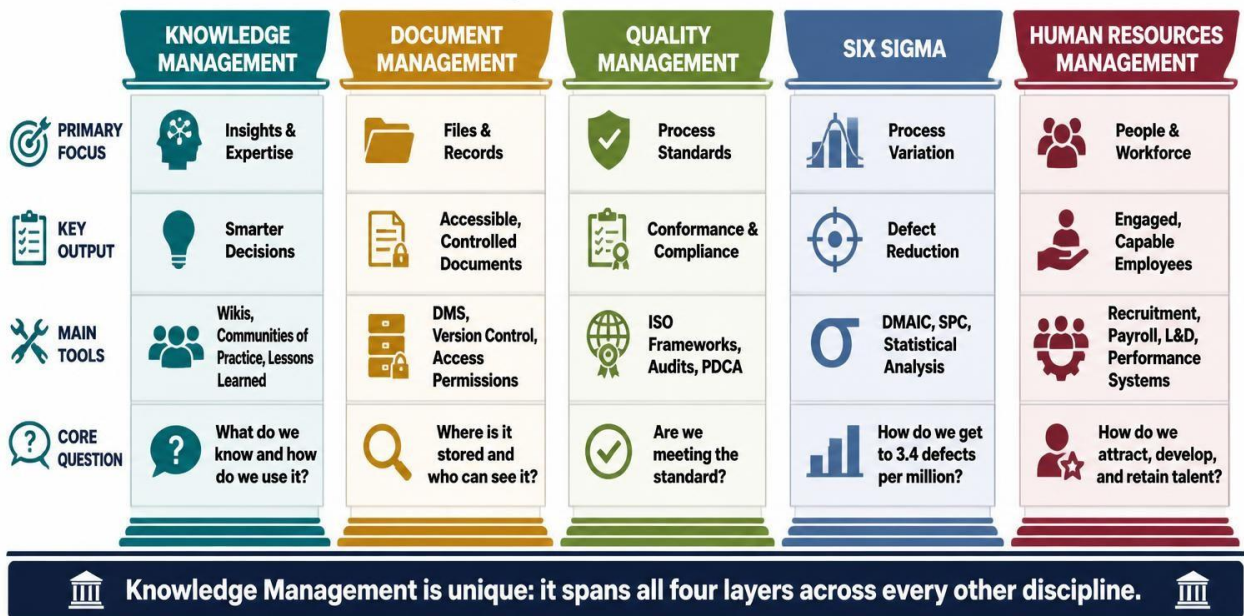
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Different Lenses, Different Focus



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Five Disciplines, Five Priorities



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Multi-disciplinary nature of KM

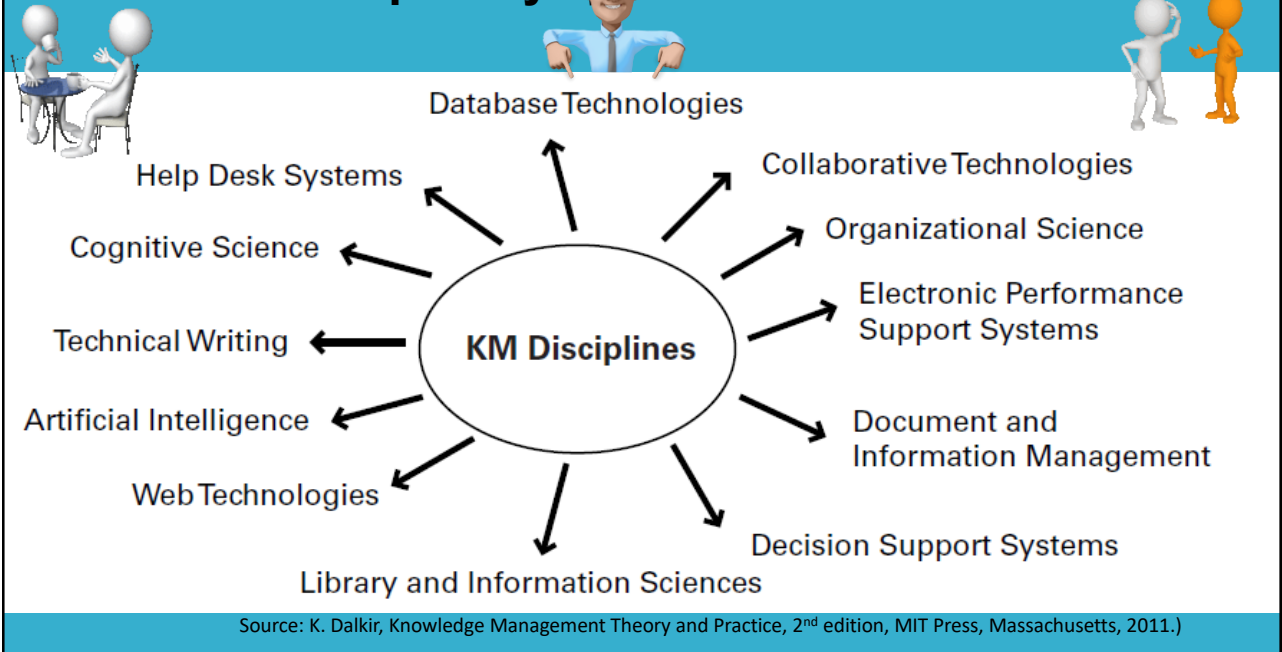
A multi-disciplinary organizational objective by making the best use of knowledge. It involves the design, review and implementation of both social and technological process to improve application of knowledge in the collected interest of stakeholders

(Source: Australian Standard on KM 2003)

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Inter-disciplinary nature of KM



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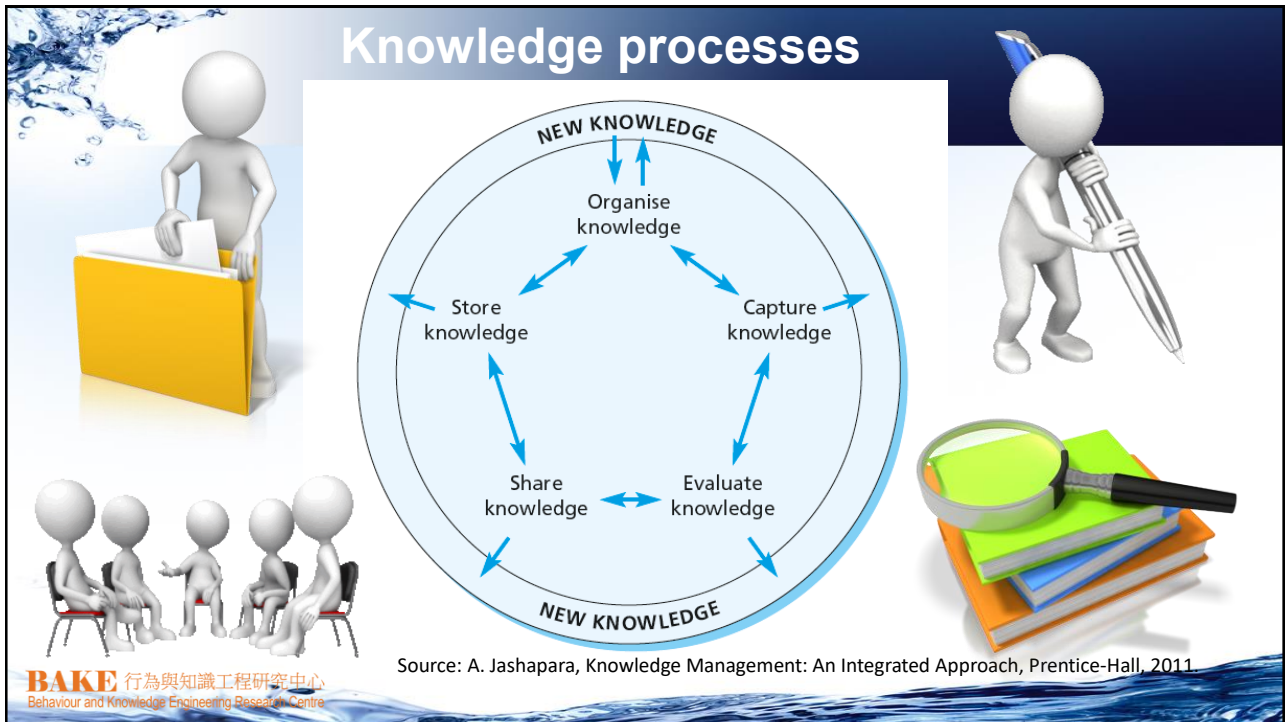
Knowledge-based theory

Operationalising Knowledge Processes



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Comparison of Knowledge Management processes

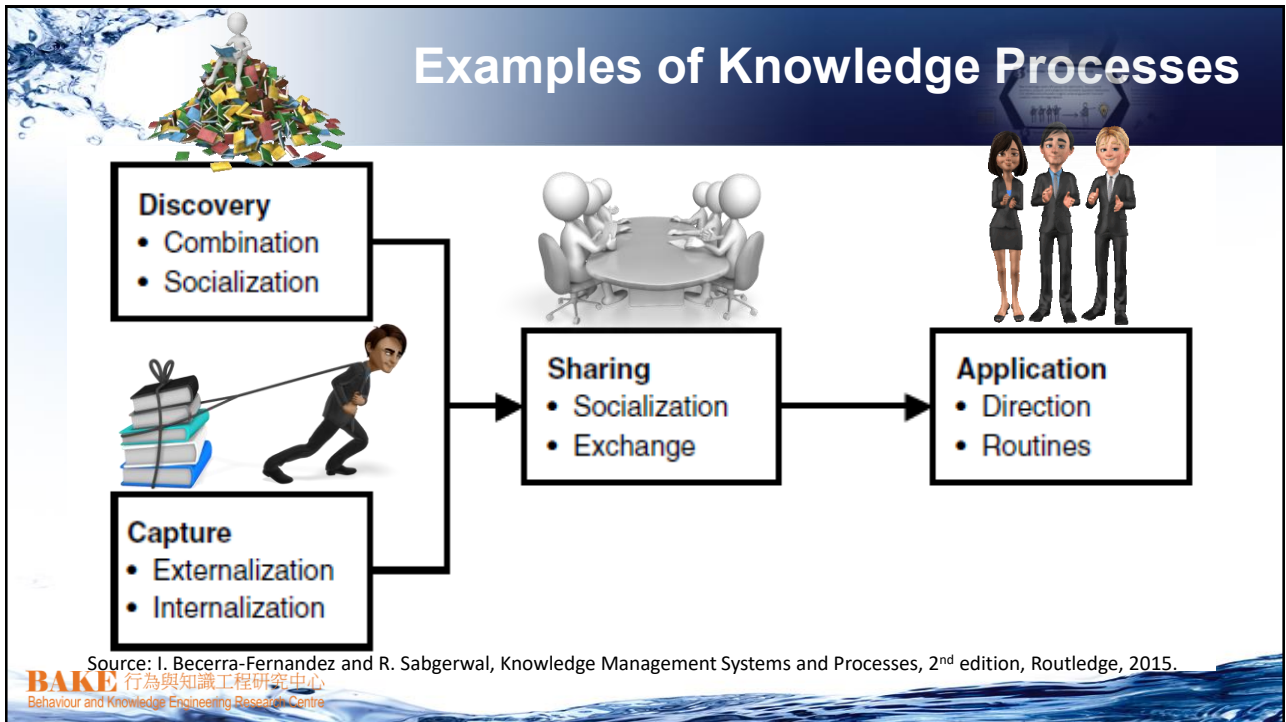
A comparison of key KM processes

Wiig (1993)	McElroy (1999)	Bukowitz and Williams (2000)	Meyer and Zack (1996)	Carlile and Reberntsch (2003)	Evans, Dalkir, and Bidian (2015)
Creation	Individual and group learning	Get	Acquisition	Identify explicit, create tacit knowledge	
Sourcing	Knowledge claim validation	Use	Refinement		
Compilation	Information acquisition	Learn	Store/retrieve	Store	Store
Transformation	Knowledge validation	Contribute	Distribution	Share	
Dissemination	Knowledge integration	Assess	Presentation		
Application		Build/sustain		Use	Retrieve
Value realization		Divest		Learn	Transform

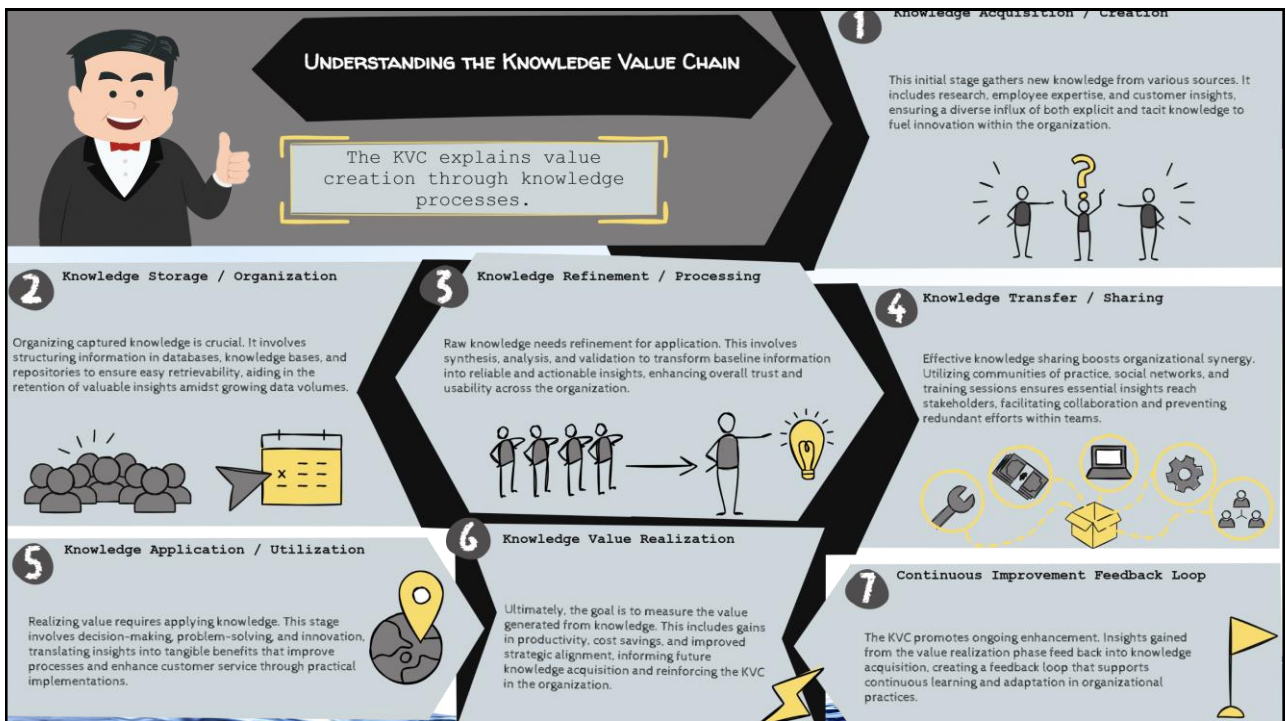
Source: K. Dalkir, Knowledge Management in Theory and Practice, 3rd edition, MIT Press, Cambridge, 2017.

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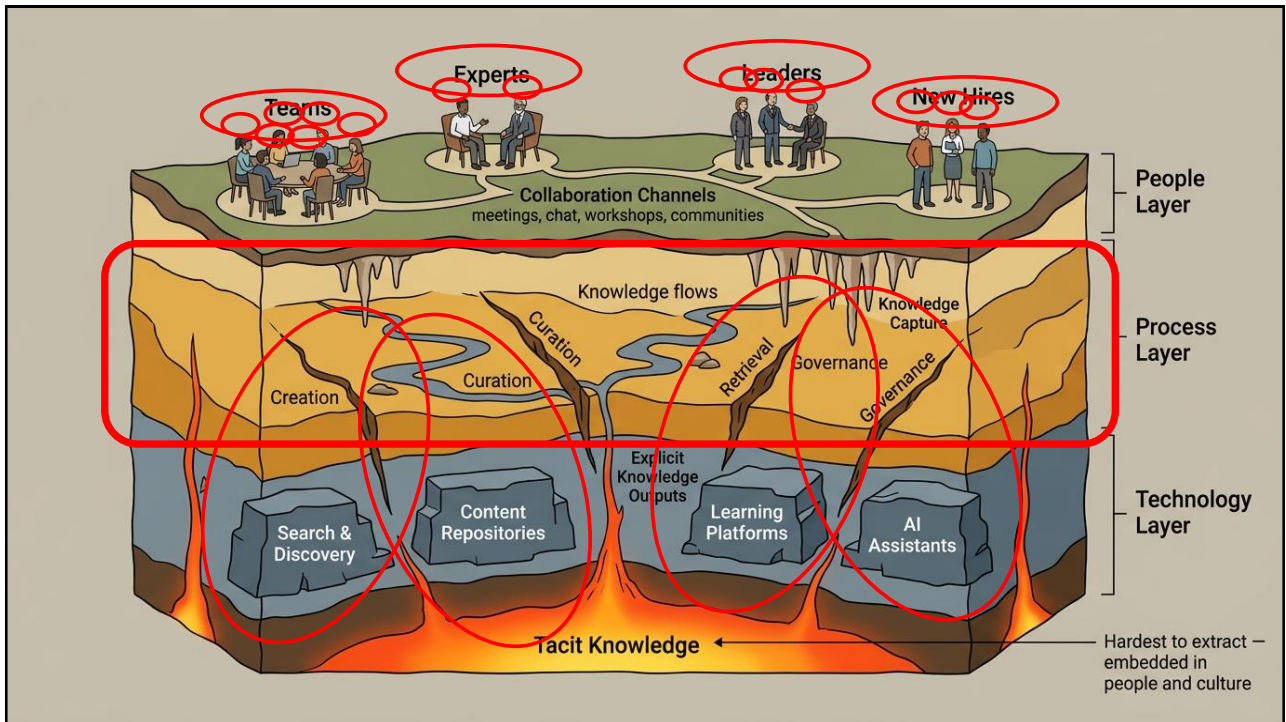
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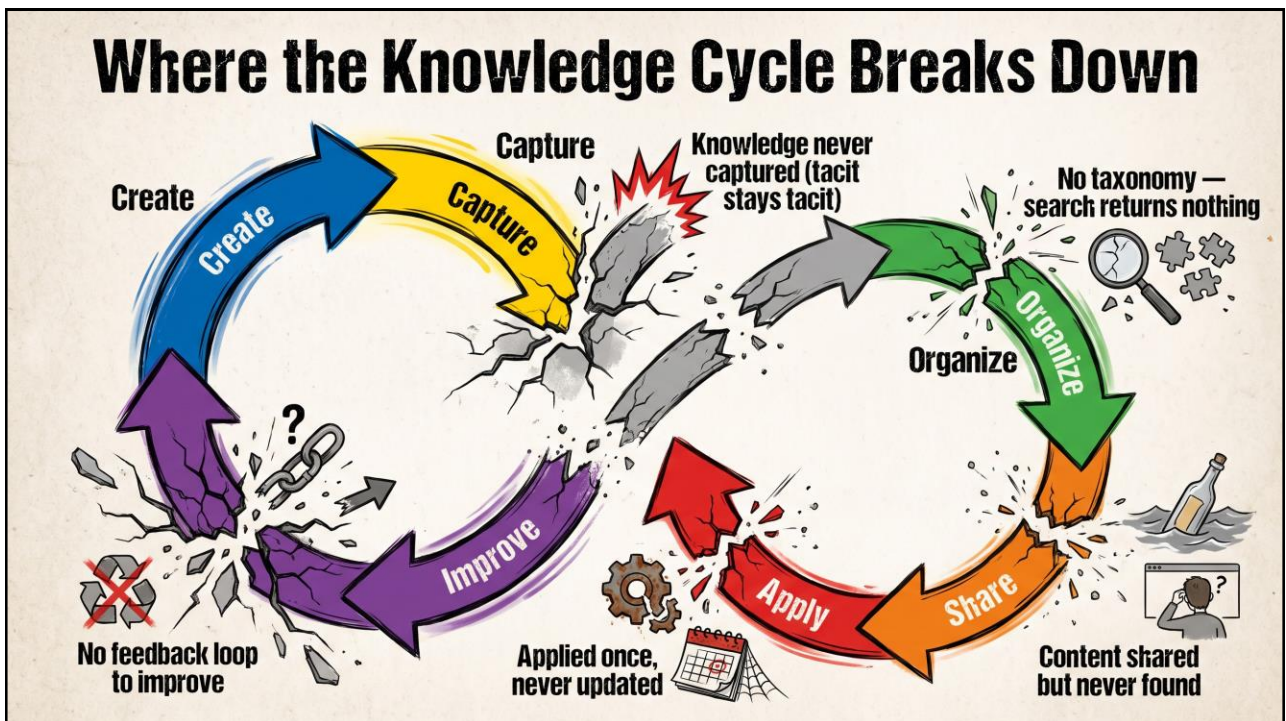
123



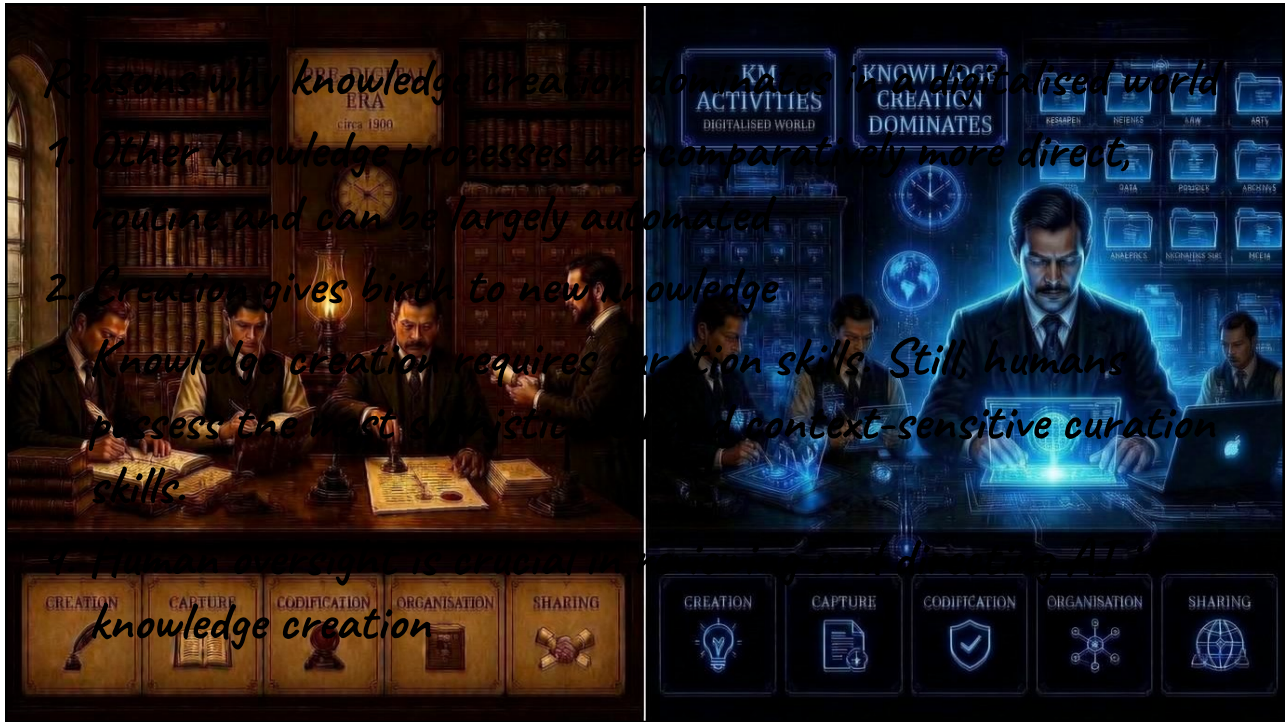
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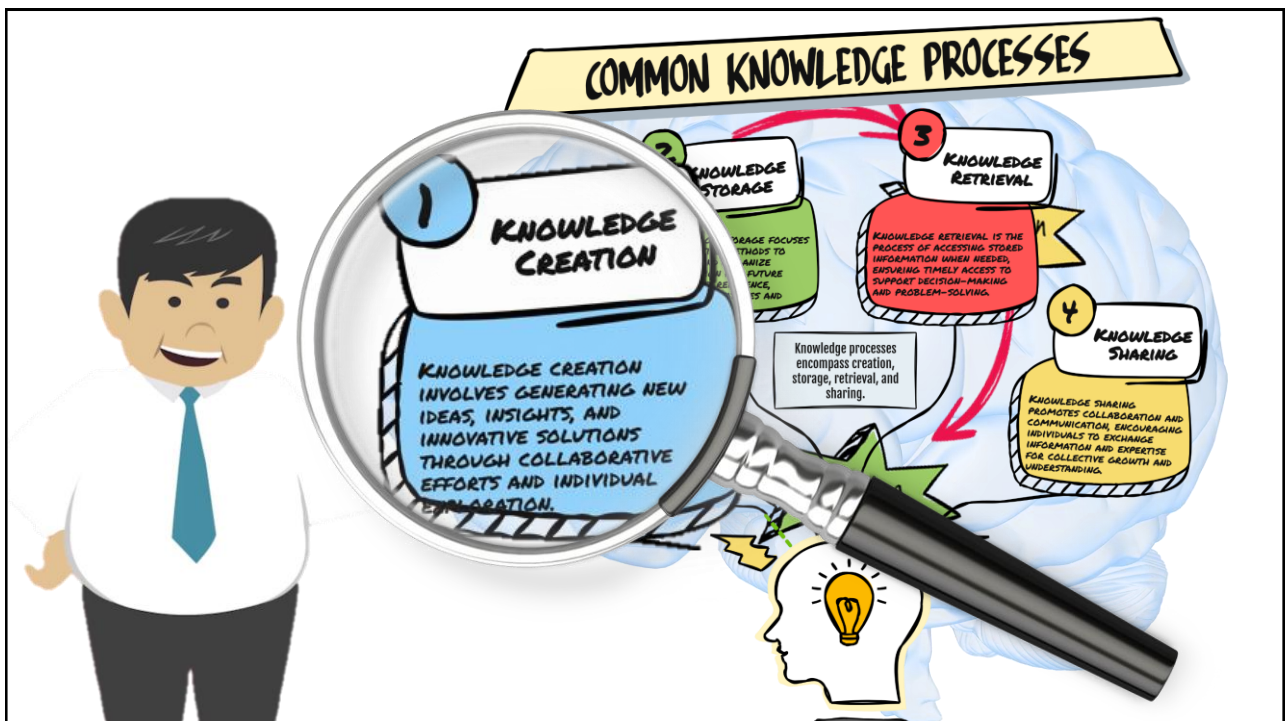
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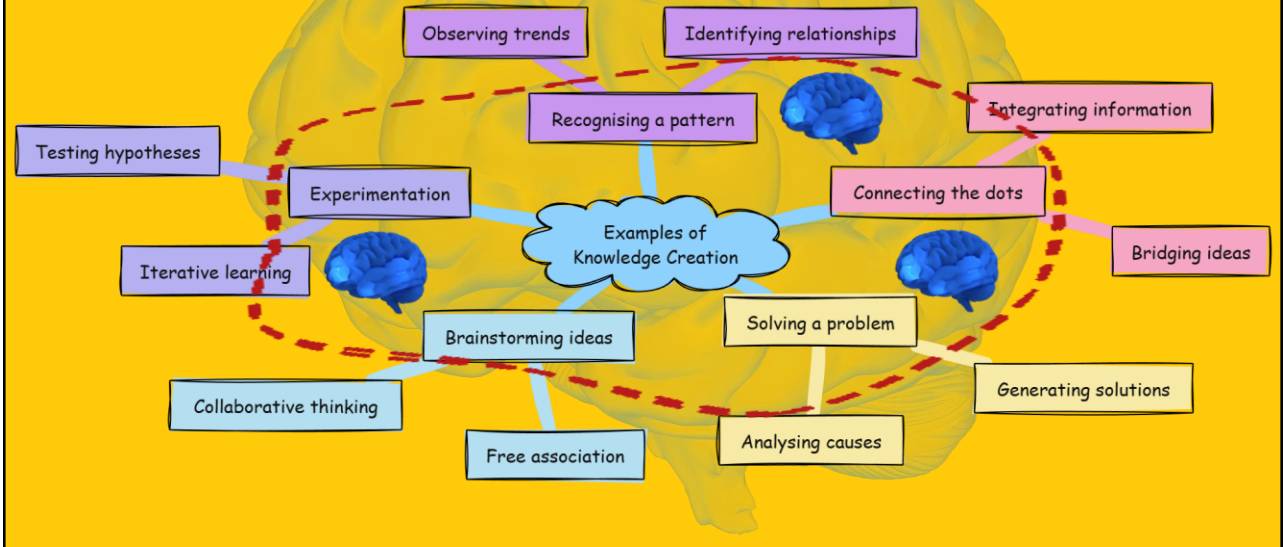


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What exactly is Knowledge Creation?



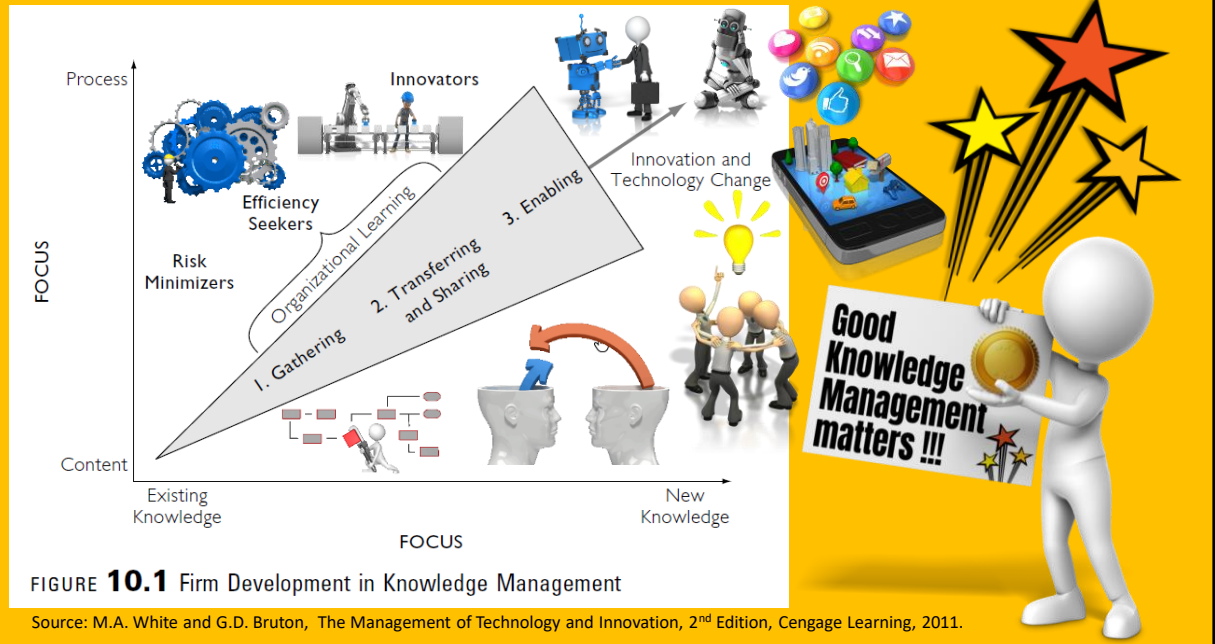
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DO NOT OVERLOOK Retiring Knowledge



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KM efforts spawn innovation & technological advancements



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What are the benefits of managing knowledge in an organization?



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Success in applying Knowledge Management leads to

Increase in

- Sales
- Customers
- Quality & consistency in decision making
- Consistency in process executions
- Enhancement in customer experience
- Quality of service
- Organizational Memory
- **Adaptability, agility & predictability**
- **Readiness & ability to innovate**
- **Sourcing, extending & building competencies & capabilities**
- **Knowledge about customers, partners, market, industry**
- **New products, services & values**

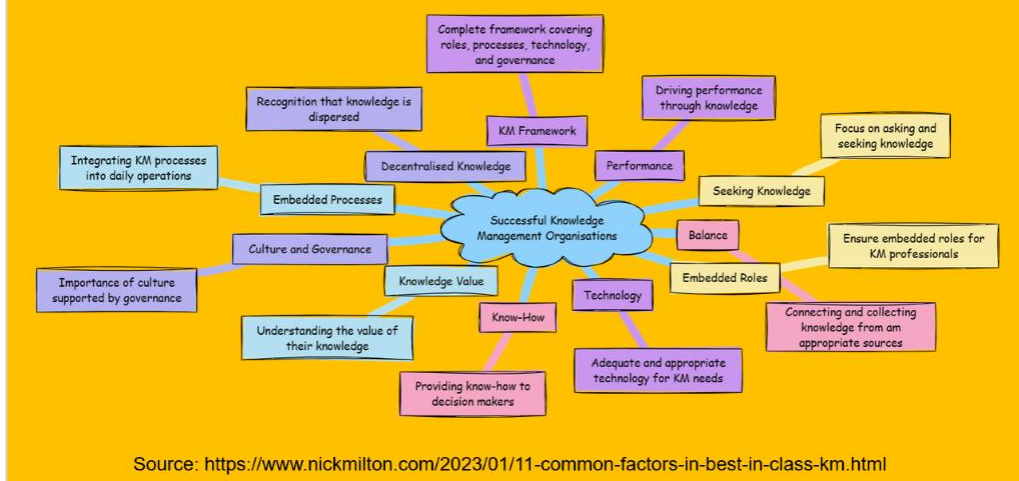
Reduction in

- **Time to search for information**
- **Time/Effort needed to locate/connect with knowledge experts**
- **Time to carry out "knowledge-intensive" tasks**
- **Time/Effort needed to solve a problem**
- **Dealing with incomplete, ambiguous & contradictory information**
- **Knowledge, Business & Technical risks**
- **Printing & mailing costs**
- **Travel cost & time**
- **Costs of providing training**

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Common characteristics among organisations successful in KM



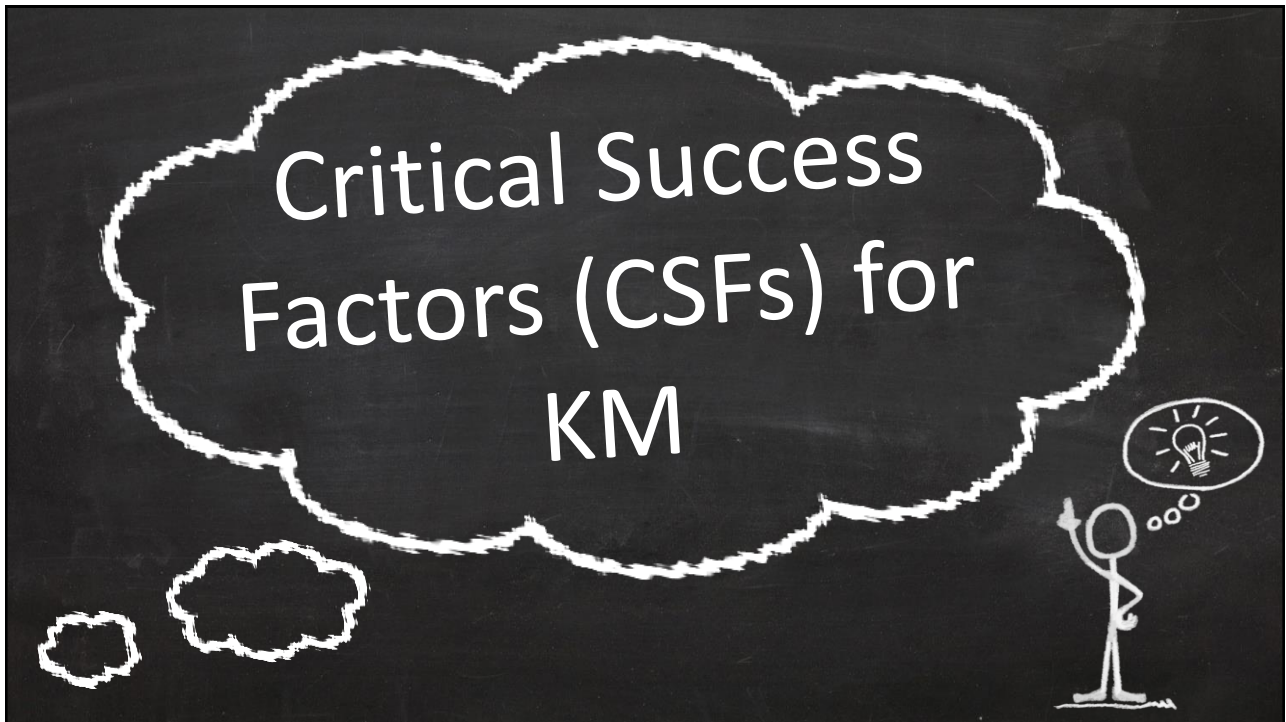
Opening Minds • Shaping the Future • 啟迪思維 • 成就未來

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How Knowledge Management Supports Innovation?

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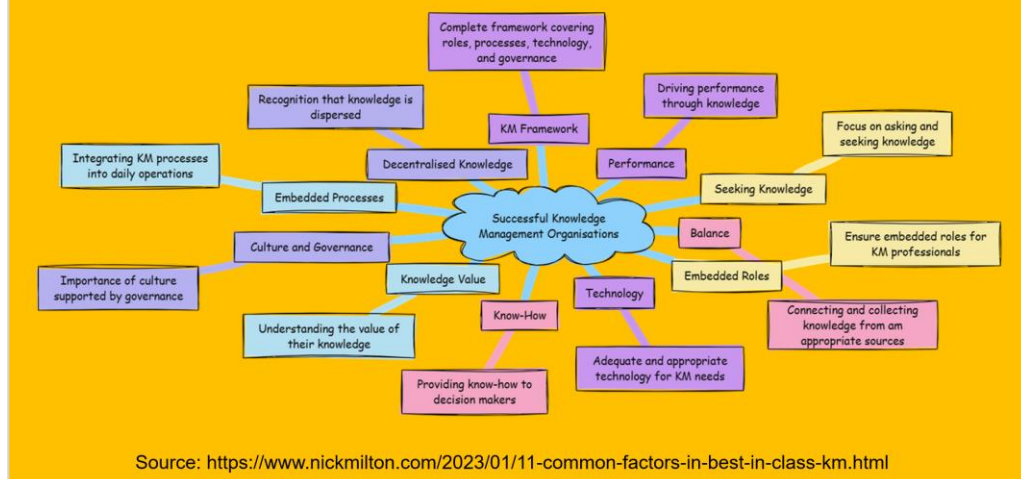
Critical Success Factors for KM

- 1. Management & grassroots support**
- 2. Attention to culture, change & trust**
- 3. Right blend of People, Process, Technology & Content**
- 4. Adopt an incremental/phased approach**
- 5. Alignment between business and KM strategies/goals**
- 6. Plan as a journey and not a project**
- 7. Not just make a start but sustain**

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Common characteristics among organisations successful in KM



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Common failures & pitfalls in KM (Milton & Lambe, 2016)

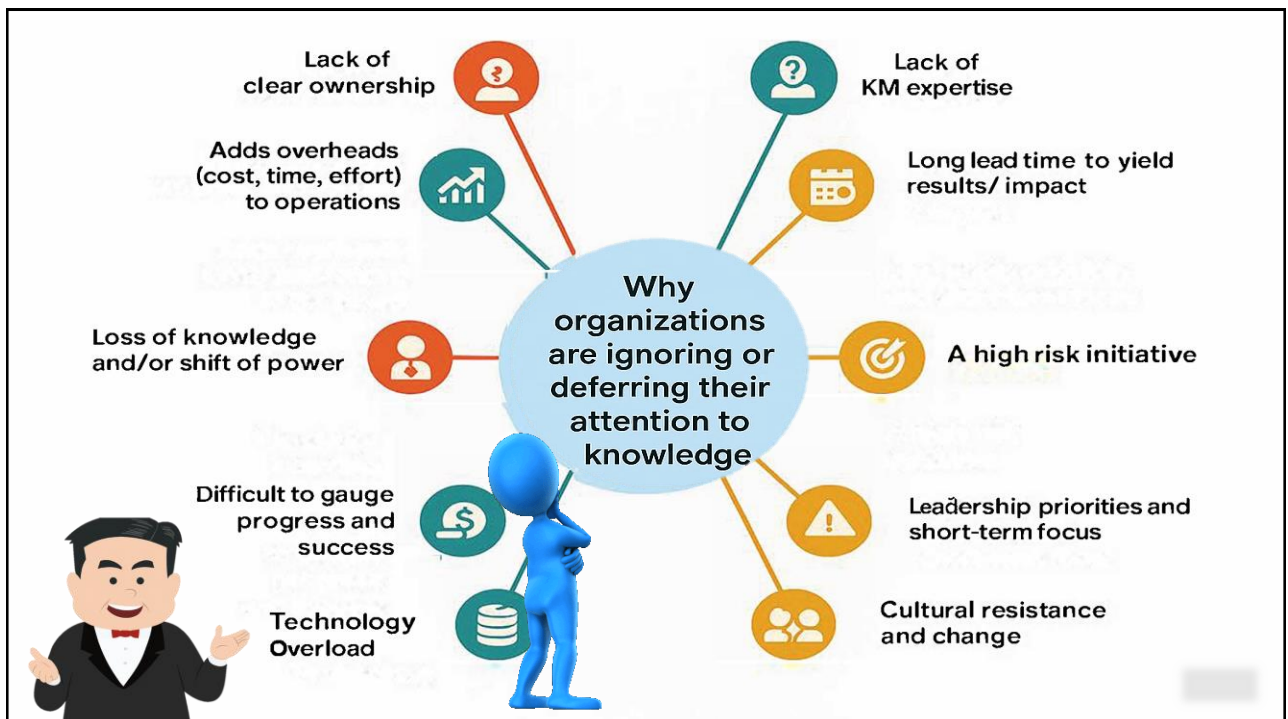
1. KM is not introduced in a business focus
2. KM is never embedded into the business
3. Fail to secure senior management support
4. Lack of focus on high value knowledge
5. Fail to show measureable benefits
6. The four enablers of KM are not given equal attention
7. Only parts of the KM solution are implemented
8. Make KM too difficult for people
9. KM is not implemented as a change programme
10. KM team preaches only to the converted
11. KM team fails to engage with key stakeholders
12. KM team has the wrong competence



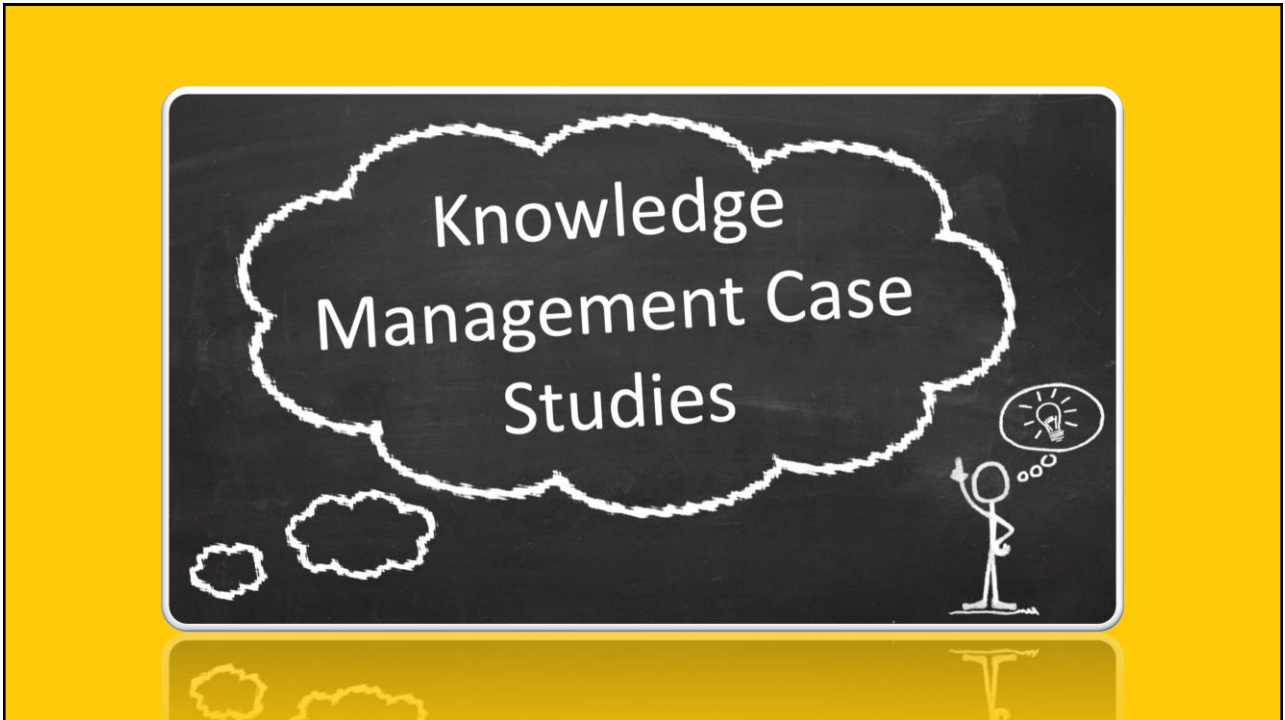
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KM Implementations



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